

EQUITY: CAPITAL GOODS

Milwaukee momentum underpins growth

Replacement, restocking and AIDC demand drive earnings growth

1H26F preview: Data center and replacement demand support sales growth

We expect Techtronic (TTI) to deliver 11.2% y-y 1H26F earnings growth, supported by: (i) data center construction spending (according to Census, data center construction rose 22.1% y-y in Jan-May 2026); (ii) likely emerging replacement demand, as the previous sales growth peak occurred in 2020-21 and the replacement cycle typically runs about five-seven years, based on our estimates; and (iii) margin-accretive Milwaukee potentially extending its lead at Home Depot (HD US, Not rated), where we estimate TTI held around 48-49% power tool sales share in 1H26F. In addition, the *suspension of the Hart business* in Dec-25 likely dragged 1H26F y-y revenue growth and resulted additional expenses; however, the company's growing focus on Milwaukee and Ryobi as its two core brands should support a better group net margin in the long run.

2H26F: Encouraging 4Q26F outlook may point to restocking

We estimate HD's Jun-26 inventory level was at a similar or even at a lower level y-y. Considering potentially strong 4Q26 sell-through — our industry survey suggests over 10% y-y growth for the overall power tool business in 4Q26F, helped by Black Friday and gift-center promotions and new product launches — we believe 3Q26F could see additional restocking of power tools and hand tools from the distributors. Meanwhile, Home Depot's share in TTI's total sales continued to trend down in 2020-25 from 48.9% to 45.4%. We believe this partly reflects faster growth in TTI's non-Home Depot channels, such as the data center, and overseas markets — TTI's Europe sales grew 9.0% y-y in local currency in 2025, outpacing group growth of 4.1%, with Milwaukee still a relatively late entrant in the region with room to expand.

Maintain Buy; raise TP to HKD163 on solid Milwaukee momentum

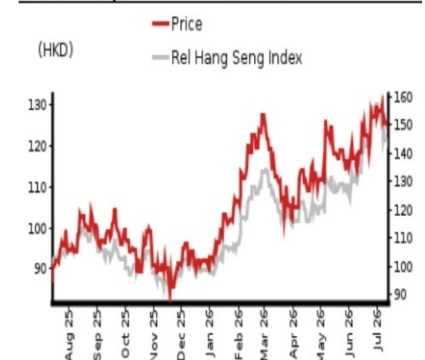
We reiterate our Buy rating and raise TP to HKD163 (from HKD140) to reflect the likely incremental sales from replacement, restocking, and non-Home Depot channel demand. We revise up our 2026/27F EPS forecasts to USD0.76/0.87 from USD0.74/0.84 to factor in these drivers, together with a modest GPM improvement as the company concentrates resources on two core brands. Our new TP of HKD163 is based on 24x 2027F P/E (previously 24x 2026F P/E), which is at +1.7x SD of its historical average of 15x. The stock now trades at 18x 2027F P/E.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (USD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	15,260	16,178	16,267	17,222	17,467	18,351	18,645
Reported net profit (mn)	1,198	1,355	1,382	1,532	1,587	1,738	1,789
Normalised net profit (mn)	1,198	1,355	1,382	1,532	1,587	1,738	1,789
FD normalised EPS	65.62c	74.18c	75.64c	83.90c	86.90c	95.14c	97.96c
FD norm. EPS growth (%)	6.8	13.1	15.3	13.1	14.9	13.4	12.7
FD normalised P/E (x)	24.4	—	21.2	—	18.4	—	16.3
EV/EBITDA (x)	14.3	—	12.9	—	11.2	—	9.9
Price/book (x)	4.2	—	3.8	—	3.4	—	3.0
Dividend yield (%)	2.0	—	2.1	—	2.2	—	2.4
ROE (%)	18.0	18.5	18.8	18.9	19.4	19.3	19.4
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Increased from HKD 140.00	HKD 163.00
Closing price 14 July 2026	HKD 125.50
Implied upside	+29.9%
Market Cap (USD mn)	29,271.9
ADT (USD mn)	85.3

Relative performance chart



Source: LSEG, Nomura

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Key data on Techtronic Industries

Performance

(%)	1M	3M	12M		
Absolute (HKD)	5.7	11.8	44.3	M cap (USDmn)	29,271.9
Absolute (USD)	5.7	11.7	44.5	Free float (%)	74.3
Rel to Hang Seng Index	7.8	18.2	44.2	3-mth ADT (USDmn)	85.3

Income statement (USDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	14,622	15,260	16,267	17,467	18,645
Cost of goods sold	-8,726	-8,968	-9,313	-9,896	-10,451
Gross profit	5,896	6,292	6,953	7,571	8,194
SG&A	-4,642	-4,967	-5,448	-5,843	-6,246
Employee share expense	0	0	0	0	0
Operating profit	1,254	1,325	1,505	1,728	1,948
EBITDA	1,917	1,993	2,217	2,493	2,764
Depreciation	-663	-668	-712	-765	-816
Amortisation					
EBIT	1,254	1,325	1,505	1,728	1,948
Net interest expense	-126	-97	-91	-97	-104
Associates & JCEs					
Other income	89	74	79	85	91
Earnings before tax	1,216	1,302	1,494	1,716	1,934
Income tax	-95	-104	-112	-129	-145
Net profit after tax	1,122	1,198	1,382	1,587	1,789
Minority interests	0	0	0	0	0
Other items					
Preferred dividends					
Normalised NPAT	1,122	1,198	1,382	1,587	1,789
Extraordinary items					
Reported NPAT	1,122	1,198	1,382	1,587	1,789
Dividends	-486	-573	-611	-656	-700
Transfer to reserves	636	626	771	932	1,089

Valuations and ratios

Reported P/E (x)	26.1	24.4	21.2	18.4	16.3
Normalised P/E (x)	26.1	24.4	21.2	18.4	16.3
FD normalised P/E (x)	26.1	24.4	21.2	18.4	16.3
Dividend yield (%)	1.7	2.0	2.1	2.2	2.4
Price/cashflow (x)	12.9	14.8	14.6	13.4	12.0
Price/book (x)	4.6	4.2	3.8	3.4	3.0
EV/EBITDA (x)	15.3	14.3	12.9	11.2	9.9
EV/EBIT (x)	23.4	21.6	19.1	16.2	14.0
Gross margin (%)	40.3	41.2	42.7	43.3	43.9
EBITDA margin (%)	13.1	13.1	13.6	14.3	14.8
EBIT margin (%)	8.6	8.7	9.3	9.9	10.4
Net margin (%)	7.7	7.9	8.5	9.1	9.6
Effective tax rate (%)	7.8	8.0	7.5	7.5	7.5
Dividend payout (%)	43.3	47.8	44.2	41.3	39.1
ROE (%)	18.5	18.0	18.8	19.4	19.4
ROA (pretax %)	10.9	11.3	11.9	12.4	13.5

Growth (%)

Revenue	6.5	4.4	6.6	7.4	6.7
EBITDA	11.6	4.0	11.3	12.4	10.9
Normalised EPS	15.2	6.8	15.3	14.9	12.7
Normalised FDEPS	15.2	6.8	15.3	14.9	12.7

Source: Company data, Nomura estimates

Cashflow statement (USDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,917	1,993	2,217	2,493	2,764
Change in working capital	244	5	-1,385	-175	-172
Other operating cashflow	107	-19	1,175	-141	-159
Cashflow from operations	2,268	1,979	2,007	2,176	2,433
Capital expenditure	-686	-590	-813	-873	-932
Free cashflow	1,581	1,389	1,194	1,303	1,501
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	2	-1,248	0	0	
Inc in other LT liabilities	-37	599	0	0	
Adjustments	80	107	649	0	0
CF after investing acts	1,661	1,461	1,194	1,303	1,501
Cash dividends	-486	-573	-611	-656	-700
Equity issue					
Debt issue					
Convertible debt issue					
Others	-897	-443	-1,646	0	0
CF from financial acts	-1,383	-1,015	-2,257	-656	-700
Net cashflow	279	445	-1,063	647	801
Beginning cash	953	1,232	1,678	615	1,263
Ending cash	1,232	1,678	615	1,263	2,064
Ending net debt	44	-700	-584	-1,232	-2,033

Balance sheet (USDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,232	1,678	615	1,263	2,064
Marketable securities					
Accounts receivable	1,993	2,005	2,089	2,238	2,386
Inventories	4,076	4,452	4,497	4,769	5,029
Other current assets	398	285	1,931	1,931	1,931
Total current assets	7,699	8,420	9,132	10,201	11,410
LT investments					
Fixed assets	3,046	2,983	3,084	3,193	3,309
Goodwill	603	607	0	0	0
Other intangible assets	1,369	1,248	607	607	607
Other LT assets	173	171	1,419	1,419	1,419
Total assets	12,890	13,429	14,242	15,420	16,745
Short-term debt	513	348	0	0	0
Accounts payable	3,871	4,033	4,075	4,321	4,557
Other current liabilities	535	654	1,001	1,001	1,001
Total current liabilities	4,919	5,034	5,076	5,322	5,558
Long-term debt	764	630	31	31	31
Convertible debt					
Other LT liabilities	844	807	1,406	1,406	1,406
Total liabilities	6,527	6,471	6,513	6,759	6,995
Minority interest					
Preferred stock					
Common stock	690	692	692	692	692
Retained earnings	5,674	6,267	7,038	7,969	9,059
Proposed dividends					
Other equity and reserves	0	0	0	0	0
Total shareholders' equity	6,364	6,958	7,729	8,661	9,750
Total equity & liabilities	12,890	13,429	14,242	15,420	16,745

Liquidity (x)

Current ratio	1.57	1.67	1.80	1.92	2.05
Interest cover	9.9	13.7	16.6	17.7	18.7

Leverage

Net debt/EBITDA (x)	0.02	net cash	net cash	net cash	net cash
Net debt/equity (%)	0.7	net cash	net cash	net cash	net cash

Per share

Reported EPS (USD)	61.44c	65.62c	75.64c	86.90c	97.96c
Norm EPS (USD)	61.44c	65.62c	75.64c	86.90c	97.96c
FD norm EPS (USD)	61.44c	65.62c	75.64c	86.90c	97.96c
BVPS (USD)	3.48	3.81	4.23	4.74	5.34
DPS (USD)	0.27	0.31	0.33	0.36	0.38

Activity (days)

Days receivable	49.8	47.8	45.9	45.2	45.4
Days inventory	170.5	173.6	175.4	170.9	171.6
Days payable	161.9	160.8	158.9	154.8	155.5
Cash cycle	58.3	60.5	62.4	61.3	61.5

Source: Company data, Nomura estimates

Company profile

Techtronic Industries Company Limited is a fast-growing world leader in power tools, accessories, storage, hand tools, outdoor power equipment, and floor-care and cleaning for DIY, professional and industrial users in the home improvement, repair, maintenance, construction and infrastructure industries. Founded in 1985, TTI was listed on the Hong Kong Stock Exchange in 1990, and is now included in the Hang Seng Index as one of its constituent stocks.

Valuation Methodology

Our TP of HKD163 is based on 24x 2027F EPS of USD0.87, at +1.7x SD of its historical average P/E. The benchmark index is Hang Seng Index.

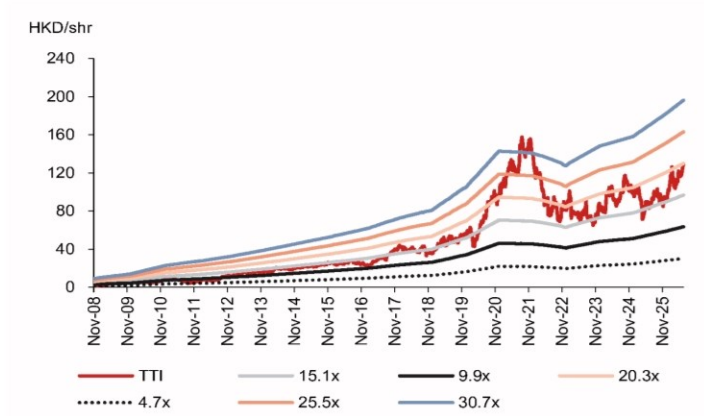
Risks that may impede the achievement of the target price

Downside risks: 1) weaker-than-expected US housing market and less investment in construction activities; 2) slower gross margin expansions, as we assume the gross margin will continue to expand gradually in 2026/27F but it may expand less than what we expect; and 3) rising raw materials costs and expenses due to supply chain disruption.

ESG

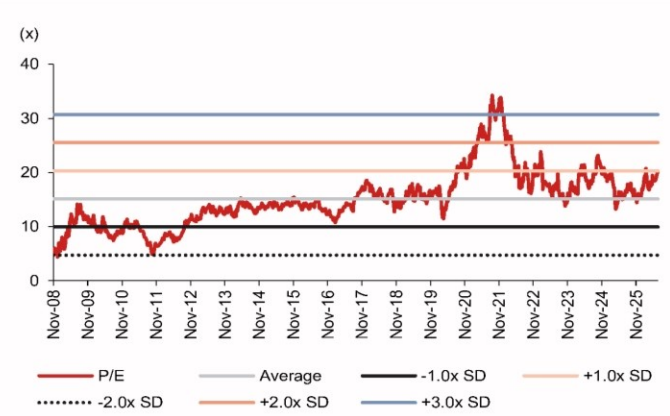
Techtronic fits the ESG theme since it offers cordless lithium-ion battery products. The company converts users from traditional power sources including corded, pneumatic, hydraulic, and petrol tools to lithium battery products; and eliminate harmful noise pollution from neighborhoods via its acoustic engineering capabilities.

Fig. 1: Techtronic – Forward P/E band



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 2: Techtronic – Forward P/E with -2/+3x SD



Source: Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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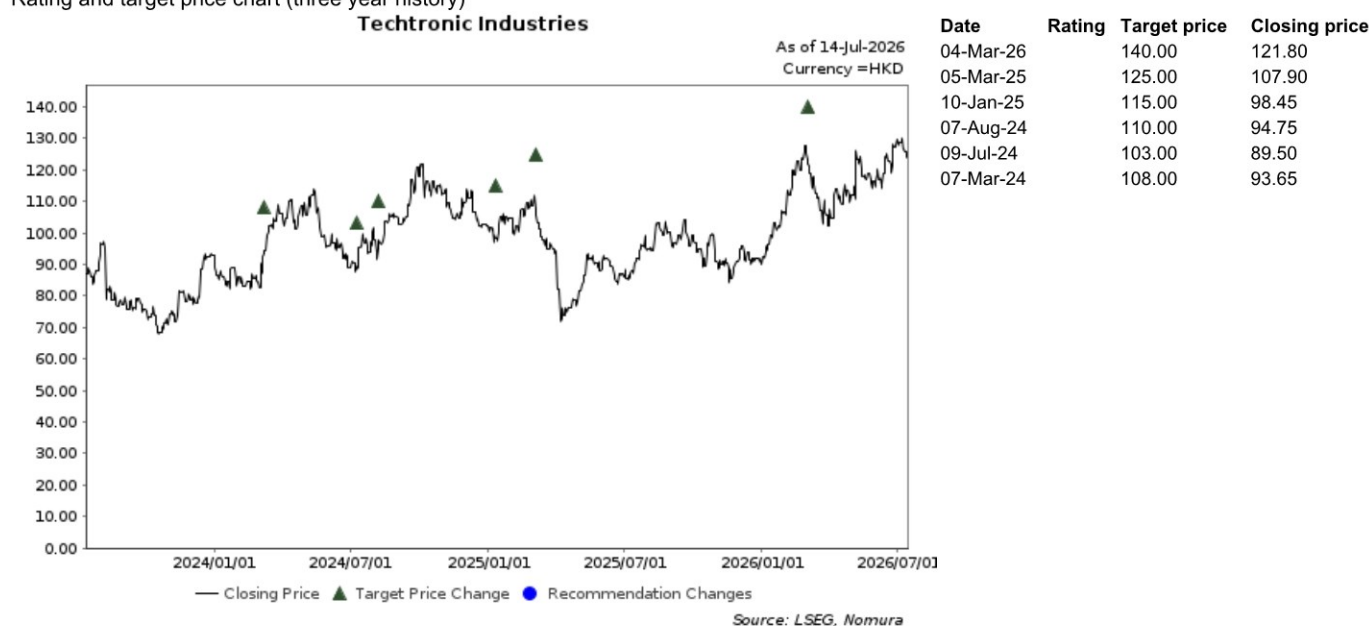
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Techtronic Industries	669 HK	HKD 125.50	14-Jul-2026	Buy	N/A	

Techtronic Industries (669 HK)

HKD 125.50 (14-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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As at 30 June 2026.

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